

Exercise 1

Part I: Use this Product Concept development checklist

Product Concept Development Checklist	
Recommended Entry	Considerations
Market Problem or Opportunity	• Market problem or opportunity clearly defined • Considerations include reduced consumer costs, improved features and functionality, or satisfying a gap or niche as applicable
Market Segments	• Market segments defined • Multiple segments prioritized
Key Financials	• Cost and benefits defined • Key financial metrics (ROI, IRR, NPV) calculated
Market Window	• Launch and delivery milestones outlined • Urgency considerations defined
Competitive Landscape	• A list of top competitors is provided • Competitor advantages and disadvantages documented • Competition strategy defined
Main Features and Functionality	• MVP concept defined • Version feature schedule documented
Key Differentiators	• Company strengths and leverage plan documented • Company weaknesses and mitigation plan documented
Go to Market Logistics	• Delivery options defined • Delivery logistics outlined
Business Success Measurements	• Key Performance Indicators (KPI) listed • Measurement Plan provided

Part II: Complete for your product

Product Concept Document Product:	
Recommended Entry	Considerations
Market Problem or Opportunity	Customers are dissatisfied with current HEPA purifiers that fail to remove VOCs, odors, and viruses, often emit ozone, and require expensive maintenance. PP LLC has the opportunity to launch an improved purifier line addressing these pain points, expanding its market share in a growing \$13.4B industry.
Market Segments	Primary segment: households with adults aged 35+, dual-adult homes (46% ownership). Secondary segments: health-conscious families and small offices. Focus on middle-to-high-income consumers seeking reliable, eco-friendly purification.
Key Financials	Initial investment: \$80,000. Expected annual returns: \$200,000 for two years. IRR > 200%. NPV (10%) positive. ROI expected at 150%+. Break-even within 6 months of launch.
Market Window	Product design: January–February. Development: March–May. Launch: June (targeting summer demand and air quality concerns). Six-month delivery window aligns with peak market readiness.
Competitive Landscape	Competitors: Honeywell, Daikin, Donaldson, MANN+HUMMEL. No major brand currently addresses all issues (VOC, odor, ozone, maintenance). PP LLC's competitive edge: safer, quieter, longer-lasting, and smarter purifiers.
Main Features and Functionality	Dual HEPA filter system with odor neutralization and cleaning spray option. Ozone-free operation. Noise reduced by 50%. Smart maintenance alerts. Extended filter lifespan (1.5 years). Three models: Basic, Better, Ultimate.
Key Differentiators	Combines HEPA and deodorization in one unit. Lower maintenance and longer filter life. Environmentally safe (no ozone). Smart connectivity for filter replacement reminders and air quality tracking.
Go to Market Logistics	Distribution via wholesale, retail, and online platforms (Amazon, PP LLC store). Existing supply chain leveraged; potential partnerships with eco-home brands. Mitigation plan in place for cost and logistics risks.
Business Success Measurements	KPIs: Revenue growth (25%), market expansion (10%), customer satisfaction +40%, product return rate reduced by 50%. Metrics tracked quarterly post-launch.